Repairs	12,000		
Rent and taxes	2,80,000		
Cash in hand	97,000		
Land	21,50,000		
Drawings	1,66,000		
Bank deposits	2,00,000		
	44,15,000		44,15,000

Solution

In the books of Sharan

Dr. Trading and profit and loss account for the year ending 31st December, 2017 Cr.

Particulars	₹	₹	Particulars	₹	₹
To Opening stock		2,00,000	By Sales		10,20,000
To Purchases	7,50,000		By Stock (closing)		2,50,000
Less: Purchases returns	30,000	7,20,000	By Gross loss c/d		**90,000**
To Carriage inwards		75,000			
To Wages		3,65,000			
		13,60,000			13,60,000
To Gross loss b/d		90,000	By Commission received		53,000
To Salaries		1,20,000	By Net loss		
To Repairs		12,000	(transferred to capital account)		**4,49,000**
To Rent and taxes		2,80,000			
		5,02,000			5,02,000

Balance sheet as on 31st December, 2017

Liabilities	₹	₹	Assets	₹	₹
Capital	33,00,000		Land		21,50,000
Less: Net loss	4,49,000		Stock in trade		2,50,000
	28,51,000		Bank deposits		2,00,000
Less: Drawings	1,66,000	26,85,000	Cash in hand		97,000
Sundry creditors		12,000			
		26,97,000			26,97,000

Tutorial note

Trading account and profit and loss account are prepared together. The first part is trading account, whereas the second part is profit and loss account.

Accountancy - Unit-12.indd 262 12/12/2021 6:22:05 PM